FINANCIAL STATEMENT ANALYSIS

Britannia Industries Ltd: Ratio Analysis Problem

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Problem

Britannia Industries Ltd is one of India's leading packaged food companies, best known for biscuits and other bakery products. Its financial year ends on 31 March. An equity research analyst is preparing a note on the company for institutional investors and wants a complete ratio analysis of its standalone financial statements for FY2026 (year ended 31 March 2026) and FY2025 (year ended 31 March 2025).

The note will examine Britannia on liquidity, solvency, funds management, profitability, the Du Pont linkage, shareholder returns, market valuation and the risk of financial failure. The statements and additional information are given below. All amounts are in ₹ crore unless stated otherwise.

- A Profit and loss
- B Balance sheet
- C Extra data
- D Definitions
- E Conventions
- F Required

₹ crore unless stated.

PART A Statement of Profit and Loss for the year ended 31 March

PARTICULARS	NOTE	FY2026	FY2025
Revenue from operations		**18,445.82**	**17,295.92**
Sale of goods	26	18,119.45	16,859.22
Other operating revenues	26	326.37	436.70
Other income	27	318.44	250.68
Total income		**18,764.26**	**17,546.60**
Cost of materials consumed	28	9,045.68	8,608.64
Purchases of stock-in-trade	29	2,028.01	1,993.16

PARTICULARS	NOTE	FY2026	FY2025
Changes in inventories of finished goods, work-in-progress and stock-in-trade	30	(21.42)	(67.96)
Employee benefits expense	31	667.47	554.70
Finance costs	32	110.80	137.10
Depreciation and amortisation expense	4, 5, 6	305.34	284.67
Other expenses	33	3,335.04	3,143.73
Total expenses		**15,470.92**	**14,654.04**
Profit before exceptional items and tax		3,293.34	2,892.56
Exceptional items (expense)	34	–	24.79
Profit before tax		**3,293.34**	**2,867.77**
Current tax	35	738.13	730.63
Deferred tax (credit)/charge	35	(6.51)	6.42
Total tax expense		**731.62**	**737.05**
Profit for the year (net income)		**2,561.72**	**2,130.72**
Basic and diluted earnings per share (₹)	41	106.35	88.46

PART B Balance Sheet as at 31 March

PARTICULARS	NOTE	FY2026	FY2025
NON-CURRENT ASSETS			
Property, plant and equipment	4	2,426.37	2,509.41
Capital work-in-progress	4	38.35	81.97
Investment property	5	45.94	47.55
Intangible assets	6	3.39	5.96
Investments	7	2,066.72	1,801.03

PARTICULARS	NOTE	FY2026	FY2025
Loans	8	45.00	35.00
Other financial assets	9	15.69	13.54
Deferred tax assets (net)	35	35.71	29.20
Tax assets (net)	35	56.41	36.11
Other non-current assets	10	19.18	23.52
Total non-current assets		**4,752.76**	**4,583.29**
CURRENT ASSETS			
Inventories	11	1,219.92	1,128.90
Investments	12	1,617.02	1,071.12
Trade receivables	13	404.74	379.63
Cash and cash equivalents	14	20.79	38.19
Bank balances other than cash and cash equivalents	14	70.03	67.45
Loans	15	121.00	50.00
Other financial assets	16	636.69	609.46
Other current assets	17	97.49	91.68
Total current assets		**4,187.68**	**3,436.43**
Total assets		**8,940.44**	**8,019.72**
EQUITY			
Equity share capital	18	24.09	24.09
Other equity	19	4,617.14	3,862.46
Total equity		**4,641.23**	**3,886.55**
NON-CURRENT LIABILITIES			
Borrowings	20(a)	285.83	712.50
Lease liabilities	20(b)	0.36	0.48

PARTICULARS	NOTE	FY2026	FY2025
Other financial liabilities	21	72.80	72.06
Total non-current liabilities		**358.99**	**785.04**
CURRENT LIABILITIES			
Borrowings	20(a)	1,060.33	504.05
Lease liabilities	20(b)	1.26	0.65
Trade payables: micro and small enterprises	22	20.40	27.18
Trade payables: other creditors	22	1,761.47	1,565.22
Other financial liabilities	23	385.38	374.32
Other current liabilities	24	71.98	174.03
Provisions	25	581.92	592.94
Tax liabilities (net)	35	57.48	109.74
Total current liabilities		**3,940.22**	**3,348.13**
Total liabilities		**4,299.21**	**4,133.17**
Total equity and liabilities		**8,940.44**	**8,019.72**

PART C Additional information

ITEM	SOURCE	FY2026	FY2025
Conversion charges (included in other expenses)	Note 33	764.69	802.20
Purchases of raw and packing materials	Note 28	9,152.52	8,576.31
Purchases of stock-in-trade	Note 29	2,028.01	1,993.16
Rent (short-term leases) included in other expenses	Notes 33, 37	77.63	90.28

ITEM	SOURCE	FY2026	FY2025
Current maturities of bank term loans (included in current borrowings)	Note 20(a)	426.67	191.67
Working-capital loans (included in current borrowings)	Note 20(a)	633.66	312.38
Retained earnings	Note 19	4,367.77	3,613.09
Total equity at the beginning of the year (1 April)	Changes in equity	3,886.55	3,527.52
Dividends paid during the year	Note 19	1,806.51	1,770.38
Dividend per share paid during the year (₹)	Note 19	75.00	73.50
Number of equity shares outstanding (weighted average is the same)	Notes 18, 41	24,08,68,296	24,08,68,296
Preferred stock and preferred dividends	Note 18	Nil	Nil
Market price per equity share at 31 March (₹)	Market data	5,334.16	4,793.21

PART D Definitions to use

Sales

Revenue from operations.

Interest

Finance costs, as reported.

EBIT

Profit before tax + Interest. Other income stays in EBIT.

Cost of goods sold

Cost of materials consumed + Purchases of stock-in-trade + Changes in inventories + Conversion charges.

Purchases

Purchases of raw and packing materials + Purchases of stock-in-trade.

Quick assets

Cash and cash equivalents + Bank balances + Current investments + Trade receivables.

Receivables, inventory, payables

Trade receivables, inventories and total trade payables (micro and small enterprises + other creditors).

Fixed assets

Property, plant and equipment + Capital work-in-progress (investment property excluded).

Long-term debt

Bank term loans (non-current + current maturities) + Lease liabilities (non-current + current). Working-capital loans are excluded.

Total capital

Long-term debt + Total equity.

Total liabilities

Non-current liabilities + Current liabilities, as shown on the balance sheet.

Net income

Profit for the year.

Tangible net worth

Total equity − Intangible assets.

Fixed charges

Interest + Rent. Preferred dividends are nil.

Market value of equity

Market price per share × Number of shares outstanding.

PART E Conventions

1. **Balance basis.** For FY2026, use the average of the 31 March 2025 and 31 March 2026 balances wherever the list below says “Average”. For FY2025, the balance sheet of 31 March 2024 is not available, so use the 31 March 2025 balance (year-end) for every FY2025 ratio.
2. Ratios marked “Year-end” use the closing balance in both years.
3. Beginning equity for the sustainable growth rate is given in Part C for both years.
4. Use 365 days in a year. Round money amounts to two decimals, ratios to two decimals, percentages to two decimals, and days to one decimal. Carry full figures through the working and round only at the end.
5. Compare FY2026 with FY2025 in each interpretation. Where a ratio is a pure number such as “times”, state what it means for Britannia.

PART F Required

Compute each of the following ratios and variables for FY2026 and FY2025, and interpret each in one or two sentences, comparing the two years and saying what the change means for Britannia.

Year-end | Average | Not applicable | Other basis

Liquidity 4

1. Current ratio — Year-end
2. Quick (acid-test) ratio — Year-end
3. Working capital (₹ crore) — Year-end
4. Cash ratio (cash and cash equivalents + bank balances + current investments, to current liabilities) — Year-end

Solvency 4

5. Times interest earned — Not applicable
6. Times fixed charges earned — Not applicable
7. Debt to equity (long-term debt to total equity) — Year-end
8. Debt to total assets (long-term debt to total assets) — Year-end

Funds management 7

9. Receivables to sales, and average collection period
   Average
10. Inventory turnover, and days in inventory
    Average
11. Payables period (year-end payables to purchases, expressed in days)
    Year-end
12. Cash conversion cycle
    From 9, 10 and 11
13. Total asset turnover
    Average
14. Fixed asset turnover
    Average
15. Capital (investment) turnover
    Average

Profitability 7

16 Gross margin

Not applicable

17 EBIT (operating) margin

Not applicable

18 Net margin

Not applicable

19 Return on assets

Average

20 Return on total capital

Average

21 Return on equity

Average

22 Return on tangible net worth

Average

Linking ratio 1

23 Extended Du Pont: compute pretax margin, asset turnover, total leverage (assets to equity) and tax retention, multiply them, and show that the product equals ROE (#21)

Average

Shareholder and market ratios 8

24. Basic earnings per share (₹)
    Weighted shares
25. Book value per share (₹)
    Year-end
26. Price-earnings ratio
    Year-end price
27. Capitalization rate (earnings yield)
    Year-end price
28. Price to book value
    Year-end price
29. Dividend yield
    Year-end price
30. Dividend payout ratio
    Not applicable
31. Sustainable growth rate (ROE on beginning equity × earnings retention)
    Beginning equity

Failure prediction 1

32. Altman Z-score with its five components T1 to T5; classify the zone (above 2.99 safe, 1.80 to 2.99 grey, below 1.80 distress)
    Year-end